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FREE REPORT

**Negotiation Skills: Strategies
and Techniques to Improve
Your Results**



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Move Beyond a Win-Lose Mindset

In the business world, why is competition so often the norm, while cooperation seems like an impossible goal? Why do we fail to recognize opportunities for creative problem solving that would develop joint gain, settling instead for “better than nothing” compromises?

One of the most destructive assumptions we bring to negotiations is the assumption that the pie of resources is fixed. The mythical fixed-pie mindset leads us to interpret most competitive situations as purely win-lose. Of course, the pie of resources is limited in some cases—in athletic competitions, admission to academic programs, and some corporate promotion systems. A small percentage of negotiations are *distributive*—the parties are restricted to making claims on a fixed resource. For instance, if price is the only issue on the table, your gains come at the expense of the other side’s and vice versa. Haggling over a piece of jewelry at a bazaar is one type of distributive negotiation.

But in organizational negotiations, far more issues than price are involved, including delivery, service, financing, bonuses, timing, and relationships. For those who recognize opportunities to grow the pie of value through mutually beneficial trade-offs among issues, the complexity of such negotiations is an asset. Trade-offs allow you and your negotiating partner to achieve more than you would if you merely compromised on each issue.

Finding trade-offs can be easy when negotiators know to look for them, yet our assumptions about the other party’s interests often keep us from this search. The problem is, we tend to apply the fixed-pie mentality too broadly, assuming that any gain for the other side comes at our expense.

Some compromises are unimportant. When planning a night out with friends, settling for your second or third restaurant choice won't cause you long-term harm. But if you get into the habit of compromising, you'll miss out on important opportunities when the stakes are higher.

Expanding the pie. Although claiming resources is important, you can often find much greater value by expanding the pie of resources. A buyer and seller negotiating a purchase might both be satisfied by increasing the order size and slightly decreasing the price per unit, for example. When the other side asks you for “just one more concession,” they set you up for a difficult choice between saying “Yes” (and losing value) or “No” (and risk losing the deal). Here's an alternative response: “I'll grant that request if you'll accept a trade-off on an issue more important to me.”

What if you have identical preferences on the same issue? Imagine a company that wants to employee training to increase work flexibility, while its employees want to be better trained to solidify their employment security. Even when both sides want the exact same outcome—in this case, better employee training—negotiators will compromise on a lesser outcome, according to Leigh Thompson, a professor at Northwestern University's Kellogg School of Management. “If I want more training,” an employee might reason, “management probably won't want to give it to me.” The assumption that the other side has directly opposing interests is known as the *incompatibility bias*. Such misperceptions can falsely inflate your confidence in your persuasion and bargaining abilities.

Finding trades. Once negotiators have moved beyond the assumption of a mythical fixed pie, the search for value can begin. To create value, you need to learn as much as you can about the other party's interests and preferences. The five proven strategies that follow will increase your likelihood of uncovering value in the negotiation process.

1. Build trust and share information. The most direct way for parties to create value is to share information in an open, truthful manner. But even in negotiations within companies, parties fail to follow this strategy. The value created by sharing information with your most trusted customers will

often outweigh the risk of having that information misused. If the two parties can put their tendency to claim value on hold, they may well be able to share valuable information about how much each side cares about each issue. “On-time delivery is critical to us,” you might tell a representative of a technology consulting firm in a negotiation over new business. “Our old contractor did good work but couldn’t meet deadlines. Now tell me some of your key concerns.”

- 2. Ask questions.** Your goal is to understand the other party’s interests as best as you can, yet both parties may be unwilling to fully disclose confidential information. What should you do next? Ask lots of questions! Many executives, especially those trained in sales persuasion tactics, view negotiation primarily as an opportunity to influence the other party. As a result, we do more talking than listening. And when the other side is talking, we tend to concentrate more on what we’ll say next than on the information being conveyed. Listening and asking questions are key to collecting important new information. “What mechanisms does your firm have in place to make sure you meet our deadlines?” you might ask the consulting rep.
- 3. Give away a bit more information.** What do you do when trust between parties is low? Give away some information that focuses on the trades you are willing to make. Doing so can enable you and the other party to expand the pie of outcomes. Plus, behaviors in negotiation are often reciprocated: When you share useful information, they may return some of their own. The key is to give away information that will inspire wise trade-offs, rather than simply slice up the pie. In your negotiation over the technology consulting contract, this might mean saying, “Let’s talk about how referral incentives might benefit us both.”
- 4. Make multiple offers simultaneously.** Most negotiators tend to put one offer on the table at a time. If it’s turned down, they learn very little that will help move the process forward. Instead, imagine making three offers that are very different but all equally profitable to your side. If the other party rejects all the offers but is particularly negative about the first and the

last, you have learned what's most important to them and where potential trades are located. For example, after you learn what's most important to a consulting firm you're talking to, present three preemptive offers that demonstrate your flexibility and your commitment to sealing the deal.

5. Search for post-settlement settlements. Even after negotiators have reached an agreement that pleases them both, there's often ample opportunity for contract improvement. The late negotiation analyst Howard Raiffa called this a "post-settlement settlement" process. Under this approach, negotiators hire a third party to help seek out a superior agreement—one that's even better for both sides. Each negotiator reserves the right to veto any new settlement proposed by the third party and revert to the original agreement. This process offers a last, low-risk attempt to discover new trades. "Let's revisit this contract in three months, after the initial project is up and running," you might tell the technology consulting rep after you've hammered out a contract. "I'm sure we'll find room for improvement."

By Max H. Bazerman (professor, Harvard Business School)

First published in *Negotiation Briefings*

Calculate Your BATNA

It was a classic case of a business partnership gone awry. After building a profitable construction company together over several decades, Mia Stevenson and Jim Shapiro recognized that their differences had become irreconcilable. Stevenson wanted to buy out Shapiro, who was willing to sell for the right price. After months of haggling and legal maneuvering, Stevenson made her final offer: \$8.5 million for Shapiro's shares in the company.

The company is worth about \$20 million, Shapiro thought to himself. I own 49% of the shares. Heck, I helped build this company. I'm not going to accept anything less than my fair share—\$10 million. I'd rather fight in court than accept \$8.5 million. Shapiro rejected the offer, and each party prepared for a trial.

Shapiro's rationale for rejecting Stevenson's offer seemed reasonable enough. Furthermore, Shapiro's lawyers assured him, a court ruling very likely would be in his favor.

Yet Shapiro made the wrong choice. He could have figured this out if he had assessed his BATNA—his *best alternative to a negotiated agreement*. A negotiator's BATNA is the course of action they will pursue if the current negotiation results in an impasse. An evaluation of your best alternative to a deal is critical if you are to establish the threshold at which you will reject an offer.

Effective negotiators determine their BATNAs before talks begin. When you fail to do so, you're liable to make a costly mistake—rejecting a deal you should have accepted or accepting one you'd have been wise to reject. In negotiation, it's important to have high aspirations and to fight hard for a good outcome. But it's just as critical to establish a walkaway point that is firmly grounded in reality.

Assessing your BATNA. To determine your BATNA in a given negotiation, follow these four steps:

- 1. List your alternatives.** Think about all the alternatives available to you if the current negotiation ends in an impasse. What are your no-deal options?
- 2. Evaluate your alternatives.** Examine each option, and calculate the value of pursuing each one.
- 3. Establish your BATNA.** Choose a course of action that would have the highest expected value for you. This is your BATNA—the course you should pursue if the current negotiation fails.
- 4. Calculate your reservation value.** Now that you know your BATNA, calculate your *reservation value*—the lowest-valued deal you are willing to accept. If the value of the deal proposed to you is lower than your reservation value, you'll be better off rejecting the offer and pursuing your BATNA. If the final offer is higher than your reservation value, you should accept it.

To assess his BATNA, Shapiro first should have obtained the following information from his lawyers: estimated litigation costs, \$500,000; his likelihood

of winning in court, approximately 70%; and the fact that if he won, he would receive \$10 million for his shares, whereas if he lost, he likely would receive only \$3 million.

Next, Shapiro should have used this formula to determine the actual value of his BATNA:

(0.7 x \$10M)

Value if he wins in court

+ (0.3 x \$3M)

Value if he loses in court

– \$500,000

Cost of litigation

\$7.4M

Shapiro should then have determined his reservation value for the negotiation with Stevenson: What is the least he would accept? It's worth noting that, after the trial was well under way, Shapiro came to believe that he should not have rejected Stevenson's offer. "I still think the offer should have been higher," he said, "but if I could go back, I'd accept it. Righteous indignation is worth something, but it's not worth \$1.1 million."

A critical first step in any negotiation is to assess your BATNA and the point at which you should walk away. It's also important to analyze the other side's BATNA: What will they do if you reach an impasse, and how will their behavior affect you? Aim high once talks commence, but keep an eye on your potentially changing BATNA, and do what you can to keep and strengthen your no-deal alternatives.

By Deepak Malhotra (professor, Harvard Business School)

First published in *Negotiation Briefings*

When to Make the First Offer in Negotiation

In dealmaking, a certain question often looms large: Should you make the first offer?

Traditionally, negotiation experts advised us to sit tight and wait for the other side to float the first number. This advice is grounded in the fact that the other party's offer may shed light on their goals and alternatives and better equip you to meet them. Yet more recent negotiation research on the *anchoring effect* has added nuance to the conventional wisdom about when to make the first offer in negotiation.

When engaged in claiming value in negotiation, our perceptions of a particular offer's value are significantly influenced by any relevant number, or anchor, that is introduced. Especially when ambiguity and uncertainty are high, the first offer that a party puts forth will have a strong anchoring effect on the negotiation that follows. Even when we know a particular anchor should not affect our judgment, we have difficulty resisting its influence.

In their classic demonstration of the anchoring effect from the 1970s, psychologists Amos Tversky and Daniel Kahneman asked study participants to estimate the percentage of African countries that belong to the United Nations. Each participant was given a random number, determined by the spin of a roulette wheel, as a starting point. They were then asked to guess whether the actual quantity fell above or below that random value and make their best estimate of that actual quantity. Despite the fact that the participants knew their starting point was completely arbitrary, it significantly affected their estimates. Even when the researchers paid participants for their accuracy, the anchoring effect continued to powerfully affect their judgments.

Even experts who have access to ample data can fall victim to the anchoring effect in negotiation and dealmaking. In one research study, professors Greg Northcraft (University of Illinois) and Margaret Neale (Stanford University) provided real estate agents with a great deal of information about a house that was for sale. The agents also toured the house and were given data about comparable properties. The agents were also given randomly chosen list prices—in essence, the seller's first offer—for the house ranging from \$119,000 to \$149,000. The

agents then were asked to name an appropriate list price for the house, estimate the house's appraisal value, state how much a buyer should reasonably pay for the house, and name the lowest offer they would accept for the house if they were the seller.

The agents insisted that the random list price they were given did not influence their evaluations, yet their responses suggested that the anchoring effect came into play: Agents who were given a higher list price believed the house was worth more than did agents who were given a lower list price.

Research on the anchoring effect suggests that the party who makes the first offer in a negotiation can gain a powerful advantage by steering talks in their favor. But that doesn't mean that it's always wise to make the first offer, as the anchoring effect could work against you if you choose the wrong anchor. Instead, the decision of whether to "drop an anchor" should be based primarily on two factors: 1) your knowledge of the *zone of possible agreement*, or *ZOPA*—the range of possible outcomes that each side will find acceptable—and 2) your assessment of the other side's knowledge of the *ZOPA*.

When it seems likely that the other party is better informed about the parameters of the *ZOPA* than you are, you will have trouble putting the anchoring effect to use. In the typical job negotiation, for example, the interviewer knows more about the possible salary range than the job candidate does. Before dropping an anchor in such situations, you should arm yourself with as much information as you can.

By contrast, when both sides have a strong sense of the *ZOPA*, the anchoring effect will be difficult to deploy. Take the case of a long-standing relationship between a supplier and customer with open books. Because each side is already aware of the other side's profit margins, negotiators will be more resistant to being anchored.

What about when neither side knows much about the *ZOPA*? In this case, you risk being either too concessionary or too demanding. Dropping the first anchor can lead to dissatisfaction when you find yourself closing the deal in such situations.

Finally, when you know more about the ZOPA than the other party does, as when you are offering or selling an asset (such as a job, a house, or a car) about which you know a great deal, you should take advantage of your superior knowledge and the anchoring effect, and make an aggressive first offer with confidence.

Craft Your Proposals for Maximum Impact

So, you've offered what you think is a great deal, but your counterpart doesn't seem to agree. What's the problem? The offer may be excellent—it's how you've framed it that's holding you back.

Framing in negotiation describes the fact that the way in which we describe our offers strongly affects how others view those offers. For example, people tend to resist compromises—and to declare impasse—that are framed as losses rather than gains, research by Max Bazerman, Margaret Neale, and Tom Magliozzi finds. Suppose that a company offers a recruit a \$20,000 *increase* over their current salary of \$100,000. This same offer of \$120,000 is more likely to appeal to them than an offer framed as a \$30,000 *decrease* from their \$150,000 salary request. Stressing what the other party would gain rather than lose is an important form of framing in negotiation.

The following strategies can help you frame your offers strategically:

1. Offer manageable choices. Studies of consumer behavior suggest that people actually welcome fewer rather than more choices, a finding with consequences for framing in negotiation. In a 2000 study, researchers Sheena Iyengar and Mark Lepper set up a tasting booth of jams in an gourmet food store. On one weekend, shoppers were able to taste six different jams. On another weekend, shoppers were offered 24 jams to taste. All the jams were available for purchase on both weekends.

The larger selection of jams attracted more people to the tasting table, though the number of jams people tasted was about the same both weekends. Here's the surprising result: 30% of shoppers exposed to six types

of jam bought a jar, but only 3% of those exposed to 24 types did so. Consumers can become so overwhelmed by available options that deciding not to make any decision at all can be a relief, the researchers concluded. The lesson: Your counterpart may *say* they want as many choices as possible but may feel overwhelmed by 10 or 20.

2. Make several offers: For advantageous framing in negotiation, what's the right number of options to present? Issuing three equivalent offers simultaneously can be a good strategy, according to researchers Victoria Husted Medvec and Adam D. Galinsky.

They describe a business deal in which a software company presented three equivalent software packages to its clients at once, such as a \$1 million package with payment in 30 days, the same software for \$1.5 million with payment in 120 days, or an enhanced package for \$1.35 million with a 30-day payment. Customers responded well to this strategy, and the company's profits rose.

When you present *multiple equivalent simultaneous offers*, or MESOs, you show other parties the issues you value most. In turn, their reactions tell you about their priorities. Together, you can craft an agreement that accounts for everyone's most important interests. What's more, MESOs give negotiators the choice they desire without risk of decision paralysis.

3. Be willing to be rejected. Let's look at another story about consumer behavior that relates to framing in negotiation, as described by researchers Itamar Simonson and the late Amos Tversky. Upscale retailer Williams-Sonoma was selling a bread-making machine priced at \$275. Eventually, the company also began selling a similar but larger bread-making machine, this one priced at \$429. Williams-Sonoma sold few units of the more expensive machine, but after it was on the market, sales of the less-expensive machine almost doubled. Apparently, the \$275 model didn't seem like a bargain until it was sitting next to the \$429 model.

Translated to the context of framing in negotiation, the *contrast effect* suggests a strategic move: Ask for more than you realistically expect, accept rejection, and then shade your offer downward. The other negotiator is likely to find a reasonable offer even more appealing after rejecting an offer that's out of the question. Real estate agents sometimes play on this tendency by taking buyers to see overpriced, run-down homes before showing them ordinary homes that appear stunning by comparison, according to psychologist Robert Cialdini.

So, try making three offers that aim higher than your counterpart is likely to accept. Their reaction to the offers will help you frame a subsequent set that, thanks to the contrast effect, are more likely to hit the mark.

Get Your Foot in the Door

In negotiation, we sometimes face the dreaded task of asking others for a big favor when we don't have anything commensurate to offer them in return. In his book *Influence: The Psychology of Persuasion*, Arizona State University Professor Emeritus Robert Cialdini presents numerous techniques that can help us get what we want, even when the request seems outrageous or our target appears resistant. One trusted tactic from the sales world is the foot-in-the-door technique, which involves using a small request to gain eventual compliance with a larger one.

In an interview with Terry Gross, host of National Public Radio's *Fresh Air*, comedian Amy Poehler gave two textbook examples of how she's used the foot-in-the-door technique to reach her goal of winning big laughs.

First, Poehler described a scene that she largely ad-libbed with then-Vice President Joe Biden during his guest appearance on her television show *Parks and Recreation*. Poehler said she had sent a written scene to Washington for review without mentioning that she might wing it in person. She was happy with the spontaneous nature of the scene (and with Biden as an improv partner), and she didn't get into any trouble with the White House. "I've learned that it's not always smart to ask before you do something," Poehler explained.

Next, she shared an anecdote about hosting the Golden Globes in 2013, a year when she was nominated for a Best Actress award. Her plan was to try to sit on actor George Clooney's lap when her name was being announced and, if she won, kiss him as if he were her husband.

She told Gross, "I knew from my years of working both sides of being on camera and behind the camera that it was better to ask George Clooney's people, 'Would you mind if Amy sat next to George when her name was announced?' And of course"—because the request was innocuous—"they would say 'No,'" that they didn't mind. "It's just too much to be like, 'Can she sit on his lap?'" Poehler said.

Having secured permission from Clooney's people to pull up a chair, Poehler said she approached his table at the appointed time and asked him point-blank if she could sit on his lap. "And he was like, sure," she said, laughing. Though Poehler didn't win the award (or a kiss), the moment got a big laugh.

Poehler's anecdotes demonstrate not only the role of chutzpah in comedy but also the value of preceding large requests with small ones in negotiation. Why is the foot-in-the-door technique so successful? Because human beings have an innate motivation to appear consistent, according to Cialdini. The desire to behave consistently—rather than erratically—is so powerful that, research shows, it even drives us to do things that fall outside our comfort zone.

When we convince someone to make a small commitment and then follow up with a larger request, we activate their desire to behave consistently. That's why salespeople often first pitch an inexpensive product before trying to sell a pricey one.

If the foot-in-the-door technique isn't enough to secure agreement, Poehler offered a bonus piece of negotiating advice from her experiences with Biden and Clooney: Make big requests face-to-face, rather than in writing or on the phone. "It's a little harder to say no in person," she said on *Fresh Air*. "Any door-to-door knife salesman will tell you that."

Beware Your Agent's Conflict of Interest

Negotiators sometimes hire an agent—such as a lawyer, real estate agent, business adviser, diplomat, or entertainment agent—when they believe they lack the knowledge, experience, or access needed to carry out a particular negotiation effectively. If you have ever negotiated through an agent, you may have found yourself wondering whether you could trust them to fully represent your best interests. Unfortunately, the answer often is no.

Though agents can be indispensable in certain contexts, their role can be fraught with peril. Problems can arise due to the fact that an agent's interests are rarely identical to those of their principal, typically because of the agent's fee structure, write Robert H. Mnookin, Scott R. Peppet, and Andrew S. Tulumello in their book *Beyond Winning: Negotiating to Create Value in Deals and Disputes*. In a real estate deal, for example, a buyer's agent typically has little interest in getting their client the lowest price possible on a home. The higher the sale price, the higher their commission, a percentage of the sale price, will be.

Even a seller's agent may not be as aggressive as they could be on price, perhaps because they want to maintain a collegial relationship with the buyer's agent or wants to wrap up the deal quickly. In fact, a study of 10,000 home sales by University of Chicago professors Steven D. Levitt and Chad Syverson found that real estate agents kept their own homes on the market about 10 days longer than their clients did, on average, and sold their own homes for 3.7% more.

Principal agent theory, which emerged in the 1970s from several economists and theorists, describes the pitfalls that often arise when one person or group, the “agent,” is representing another person or group, known as the “principal.” The theory finds flaws with virtually all types of fee structures that are commonly used to compensate agents. Agents who bill by the hour, for example, gain incentives to drag out their work. Principals often have difficulty monitoring their agents' work to ensure they are performing efficiently. Like all of us, agents typically are unaware when conflicts of interest compromise their decisions.

4 Guidelines for Managing Agents

How can you ensure that your agent will get you the best deal possible? The following four guidelines should help:

- 1. Investigate the agent's negotiating style.** Many agents brag that they are “sharks” who will bargain ruthlessly on your behalf. Beware agents who bring this type of win-lose mentality to their negotiations. Instead, look for an agent who recognizes the value of collaborating to enlarge the pie of resources with the other party *before* fighting hard to get you the biggest slice.
- 2. Negotiate the terms of your agent's contract.** Agents typically present their contract terms as standard, but that doesn't mean they're nonnegotiable. Share your concerns about your potentially misaligned incentives, and ask your would-be agent to help you tailor their fee arrangement to the situation, advise the authors of *Beyond Winning*. A fixed fee may be best if you want the work done quickly and at a low cost, while an hourly rate may be more appropriate if you are looking for your agent to leave no stone unturned.
- 3. Negotiate your role.** Discuss with the agent what your role will be in the negotiation. Will you be at the table with the agent serving as a behind-the-scenes adviser? Will you be absent and reliant on the agent to fill you in on what happens? Negotiate an arrangement that draws on your goals and your individual strengths.
- 4. Don't give away your bottom line.** Negotiators often err in telling their agents how low or how high they are willing to go to make a deal. Doing so could anchor your agent toward an unambitious goal and hand over too much negotiating authority. Instead, give your agent the freedom to brainstorm options at the table but not the ability to make binding commitments without your approval.

By managing the risks of negotiating through an agent, you can increase the odds that your agent will bring you a better deal than you could have negotiated yourself.

Can't Agree on What Will Happen?

Try a Contingent Contract

In negotiation, all the goodwill, trust, and cooperation you create can seem useless if you and your negotiating counterpart disagree about how future events may play out. In such cases, a *contingent contract* can be a highly useful, though widely overlooked, tool for creating value in negotiation.

Imagine, for example, the following negotiations:

- A home remodeler insists that his team will finish a potential customer's room addition in two months, but the customer fears the remodeler is being too ambitious or possibly lying.
- A town manager is negotiating for a new fuel-oil contract with a vendor and is concerned about unforeseen increases in the price of the oil, which could hit citizens hard.
- A teenager insists she can earn enough money babysitting to reimburse her parents for the monthly payments on a new phone, but her parents aren't so certain.

In situations such as these, contract terms would seem to depend on one or both parties making a risky compromise based on their predictions about how the future will unfold. When assessing how to close a deal in such situations, negotiators would be wise to consider negotiating a contingent contract.

What Is a Contingent Contract?

Contingent contracts are “If this happens, then we do this or that” promises that parties add to their negotiated contract to reduce their risk in the face of uncertainty about the future, according to Massachusetts Institute of Technology professor Lawrence Susskind.

In virtually any negotiation, parties must make forecasts and assumptions about the future, notes Susskind. Will materials arrive on time for the contractor to meet his deadlines? Will fuel-oil prices remain stable or rise suddenly? Will the teenager find as many babysitting jobs as she anticipates?

A contingent contract often creates incentives for compliance and/or penalties for noncompliance, according to Susskind, but also can take the form of insurance, bonds, and other tools designed to reduce risk. For example:

- The homeowners might propose to pay the contractor a 5% bonus for on-time completion, on top of his negotiated fee, but charge him a 5% penalty for any delays.
- The town manager could ask the fuel-oil vendor to provide a guaranteed annual price-increase cap of 10% in exchange for negotiated delivery dates and amounts as spelled out in the contract.
- The parents could tell their teen that if she is unable to meet her monthly phone payments by babysitting, she will have to work at the family's small business to make up the difference.

In each of these cases, the party being offered the contingent contract should be happy to take the bet (or negotiate it slightly) if their promises have been truthful.

How can you make a contingent contract part of your negotiation behavior? First, outline the scenario that each party imagines will happen in the future. Second, negotiate expectations and requirements for each of these visions of the future. Third, put both of these scenarios in your contract.

Advantages of Contingent Contracts

In addition to spreading risk and surfacing deceptive claims, contingent contracts have numerous other benefits for negotiators, according to Susskind. They:

- Eliminate the need to come to agreement by allowing parties to bet on their predictions and “live with” their differences.
- Make commitments self-enforcing by eliminating the need to reconvene or renegotiate when a surprise crops up.
- Head off litigation by reducing the likelihood that conflict will arise over surprising events and by spelling out exactly what will happen if a conflict emerges.

Contingent contracts are a great way of creating value in negotiation, but they need to be considered and crafted with care, due to potential pitfalls, notes Harvard Business School and Harvard Law School professor Guhan Subramanian. For example, a homeowner who is skeptical that a contractor will meet stipulated deadlines could turn out to be misinformed and end up overpaying for the project, via a bonus. For this reason, before negotiating a contingent contract, be sure to consider that the other party may have access to information that you lack.